

**Before the
FEDERAL TRADE COMMISSION
Washington, D.C. 20552**

COMMENTS

of the

ANA – ASSOCIATION OF NATIONAL ADVERTISERS

on the

**Proposed Amendments to the Negative Option Rule
Negative Option Rule; Project No. P064202**

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On behalf of the Association of National Advertisers (“ANA”), we provide comments (“Comments”) in response to the Federal Trade Commission’s (“FTC” or “Commission”) request for public comment on proposed amendments to the Negative Option Rule (“RFC”).¹ According to the RFC, the FTC offers proposed amendments to the Negative Option Rule (the “Current Rule”) “with the objective of setting clear, enforceable performance-based requirements for all negative option features in all media,” including continuity plans, automatic renewals, and free trials, which extend beyond the scope of the Current Rule’s coverage.² The RFC states that the proposed amendments to the Current Rule, including its “click to cancel” and onerous consent requirements, are designed to promote flexibility, “ensure consumers understand what they are purchasing[,] and allow them to cancel their participation without undue burden or complication.”³ The FTC’s stated goal is to “enhance consumer protections while avoiding detailed, prescriptive requirements that would impede innovation.”⁴

As America’s oldest and largest advertising trade association, the ANA has long supported brands, advertisers, marketing service providers, and countless other entities in their efforts to provide clear and understandable negative option features to consumers. The mission of the ANA is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. The ANA serves the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA’s membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually.

The ANA supports the FTC’s goals of helping ensure consumers understand negative option features and can cancel recurring charges without undue hindrance. However, several proposed updates to the Current Rule would hinder innovation and the free flow of commerce without providing commensurate benefits or protections to consumers. We discuss these points in detail in the sections that follow. Our Comments first highlight the value that negative option features provide to consumers and sellers. We next detail how specific proposed amendments to the Current Rule would create consumer frustration and unnecessary burdens for individuals who wish to purchase goods or services through negative option features. We also catalog how certain other proposed updates to the Current Rule are out-of-step with the ways businesses and consumers interact and would impose excessive restrictions on sellers’ ability to communicate with their customer base. Finally, our Comments conclude by advocating for a harmonized framework across the various laws—both federal and state—that govern negative option marketing, and we discuss self-regulatory frameworks such as the ANA’s *Guidelines for Ethical Business Practice* that set forth reasonable standards related to negative options. We ask the Commission to refrain from issuing prescriptive and unnecessary updates to the Current Rule

¹ 88 Fed. Reg. 24716-24739 (Apr. 24, 2023), located [here](#) (hereinafter, “RFC”).

² *Id.* at 24726.

³ *Id.*

⁴ *Id.*

and instead work to simplify requirements across the patchwork of current laws to help clarify the crowded field of laws and regulations related to negative options.

I. Consumers and Businesses Benefit Significantly from Negative Option Features, and Proposed Amendments to the Current Rule Should Not Unreasonably Expand Its Scope

Through its proposed modifications to the Current Rule, the FTC has articulated a goal of creating standards-based requirements for negative option features that enable flexibility to adapt to changing technologies and innovation.⁵ We support this goal of flexibility. However, the Commission's proposed amendments contain new and overly prescriptive requirements that would not achieve these goals. Onerous and rigid regulatory requirements surrounding negative option marketing threaten to diminish the availability of such offerings, to the detriment of consumers and businesses alike. The Current Rule and various statutes appropriately address concerns and purported harms associated with negative option features, and the FTC already has several tools at its disposal to enforce against sellers which abridge those mandates. Imposing additional, inflexible regulatory requirements on providers of negative option features through updates to the Current Rule would be counter to the FTC's stated goals, hinder legitimate business, and frustrate the consumer experience rather than provide meaningful consumer protection.

Both consumers and businesses benefit significantly from negative option features. Negative option features allow consumers to reliably receive products or services without the need to continually return to sellers to initiate repeated transactions. Negative option features thus provide significant convenience to consumers by conserving their time and increasing efficiency without burdening them with the chore of repeatedly ordering products and services or providing consent at numerous junctures in their commercial relationships with sellers. Additionally, negative option marketing benefits businesses by enabling them to automate processes and increase efficiency in their delivery of goods or services to consumers. Negative option plans also help businesses avoid the need to process payments on an infrequent or ad hoc basis, which gives them more time and resources to dedicate to improving their underlying product or service to the benefit of consumers.

The Commission has proposed to expand the scope of the Current Rule in several ways, one of which is broadening the Current Rule's coverage to continuity plans, automatic renewals, and free trials.⁶ Such an expansion is unnecessary, as the FTC can use (and has repeatedly done so) the litany of enforcement tools at its disposal to successfully bring enforcement actions against negative option vendors that offer such features in ways that violate statutory or regulatory requirements.⁷ Moreover, expanding the Current Rule to apply to other kinds of

⁵ RFC at 24726.

⁶ *Id.*

⁷ See, e.g., *FTC v. NutraClick LLC*, Order for Permanent Injunction and Monetary Judgment, Case No.: CV 16-6819-DMG (JPRx) (C.D. Cal. 2016), located [here](#); *FTC v. Triangle Media Corporation et. al.*, Modified Stipulated Order for Permanent Injunction and Monetary Judgment as to Defendants Triangle Media Corporation, Jasper Rain Marketing LLC, and Brian Philips, Case No.: 18 cv 1388 LAB (S.D. Cal. 2019), located [here](#); *FTC v. Age of Learning, Inc.*, Stipulated Order for Permanent Injunction and Monetary Judgment, Case 2:20-cv-07996-SVW-E (C.D. Cal. 2020), located [here](#).

negative option features is unnecessary, as Congress already considered and addressed such features when it passed the Restore Online Shoppers' Confidence Act ("ROSCA") in 2010.⁸ Then -- nearly forty years after the initial promulgation of the Current Rule in 1973 -- Congress' legislative hearings and discussions reevaluated the negative option landscape and led to the passage of ROSCA. Congress concluded that the requirements under that law, as passed, adequately protect consumers from harm. As a result, the combination of the Current Rule, ROSCA, other federal statutes discussed in the RFC and Section IV below, and state laws adequately cover negative option features and already provide sufficient and robust consumer protection.

Additionally, certain proposed amendments to the Current Rule would address areas that are entirely outside the scope of negative options, such as the proposed prohibition against "misrepresenting expressly or by implication any material fact regarding the entire agreement" between the seller and the buyer and requiring "clear and conspicuous" disclosures of material terms related to the underlying good or service, regardless of whether that term directly relates to the negative option feature.⁹ This proposed requirement would, for example, create mandates for transactions that do not even contemplate a negative option feature or marketing offer. While sellers agree that misrepresentations are unacceptable and should not be permitted, the FTC already can enforce against such deceptive acts by using its existing authority under the FTC Act. In these ways and others, several proposed amendments to the Current Rule would unreasonably and needlessly extend its coverage far beyond what is necessary for meaningful consumer protection.

The overwhelming majority of sellers that offer negative option features provide goods and services to consumers in ways that are efficient and enable significant cost savings. In addition, many sellers provide negative option features under month-to-month contracts, which give consumers considerable flexibility to cancel or decide to revoke an autorenewal. Several state laws completely exempt sellers of these month-to-month negative option features from the scope of their laws because of the ease with which consumers can revoke consent to participate in the month-to-month negative option feature.¹⁰ The Commission should consider similarly exempting month-to-month autorenewal programs or negative option feature programs from the scope of its regulations.

The FTC has provided a limited evidentiary record to support increasing prescriptive compliance requirements for negative option features. This scant evidence provides a cursory discussion of only the most egregious behavior by sellers—acts that clearly constitute violations of the existing framework under the Current Rule. The Commission has not set forth adequate data or support to show that the incremental value of the additional disclosures, consent requirements, and other mandates in the proposed amendments would increase consumer protection. In addition, the Commission has not demonstrated that the proposed amendments'

⁸ *Restore Online Shoppers' Confidence Act*, 15 U.S.C. §§ 8401 – 8405

⁹ RFC at 24734, Proposed Rule § 425.3. Notably, the generalized prohibition against "misrepresentations" was not raised in the Advanced Notice of Proposed Rulemaking related to the RFC, thereby providing commenters no opportunity to offer input on this potential aspect of the proposed amendments prior to the FTC's April 24, 2023 notice of proposed rulemaking related to updating the Current Rule. *See generally* 84 Fed. Reg. 52393-52398 (Oct. 2, 2019), *Rule Concerning the Use of Prenotification Negative Option Plans*, located [here](#).

¹⁰ *See, e.g.*, Conn. Gen. Stat. § 42-126b; Hawaii Rev. Stat. § 481-9.5; Fla. Stat. Ann. § 501.165.

approach is the least burdensome way of achieving its objectives or outweighs the costs associated with those proposed provisions. As it presently stands, the Current Rule and the myriad laws that govern negative option marketing offer strong consumer protection, and the FTC can bring enforcement actions to deter undesired conduct. Updates to the Current Rule to add new, inflexible requirements would hinder legitimate commerce and needlessly encumber consumers' ability to easily obtain products and services on a recurring basis through negative option features.

II. Several Proposed Amendments to the Current Rule Would Obstruct the Consumer's Purchasing Experience

The Commission should not take steps to complicate or burden consumers' interactions with legitimate negative option feature offers from sellers. Although one of the FTC's stated goals regarding its proposed modifications to the Current Rule is to "propos[e] flexible standards ... that will not impede advances or become irrelevant as the market changes,"¹¹ several of the proposed amendments to the Current Rule would create rigid requirements that would increase consumer frustration in interactions with negative option marketing. As set forth in more detail below, several proposed amendments to the Current Rule should be updated to minimize the potential for consumer frustration and difficulty in accessing lawful negative option features.

a. Requiring Separate Consent for a Negative Option Feature Is Unnecessary and Unreasonably Burdensome

Proposed updates to the Current Rule would require sellers to obtain "unambiguously affirmative consent" for a negative option feature "separately from any other portion of the transaction."¹² This term is unclear, as it does not specify what constitutes another "portion" of the transaction. Moreover, the Commission's proposed qualifying words surrounding "consent" further obscure the requirement. In other parts of the proposed amendments to the rule that explain consent requirements, "express informed consent" is required. Under the proposed amendments, it is not clear whether "unambiguously affirmative consent" differs from "express informed consent," and sellers have no way to discern whether the Commission intends a meaningful difference between the two constructions. The Commission should simplify and clarify the words and adjectives it uses to describe consent requirements to avoid creating uncertainty as to what constitutes sufficient consent under the regulations.

Additionally, requiring consent for a negative option feature to be "separate" from consent for other portions of the transaction would add yet *another* required obligation for consumers to indicate consent, thereby making it more cumbersome for consumers to seamlessly agree to a negative option offer. The proposed rule suggests that a checkbox, signature, or some other affirmative method of consent would be required for the negative option feature *in addition to* the consumer's consent to purchase the underlying offering. This mandate would impose an unreasonable burden on consumers to indicate consent at least twice in the context of any given negative option offer without furthering the policy goals of increasing consumer understanding of the feature or enabling consumers to more easily cancel the feature if they choose to do so. In

¹¹ RFC at 24726.

¹² *Id.* at 24735, Proposed Rule § 425.5(a)(1).

addition, consumers will likely be confused by an additional consent touchpoint, such as an empty check box to consent to the negative option feature specifically, because at that point they will have already consented to the terms and conditions of the underlying offering. The proposed rule would consequently introduce a required element of friction or action by the consumer to the purchasing process that could result in confusion and consent fatigue. Further, requiring consumers to indicate consent at several points in their purchasing experience will not necessarily ensure they better understand the underlying negative option feature. The proposed rule should be updated to require the consumer's clear, unambiguous consent to the negative option feature, without the requirement to provide consent "separately" to purchase any offering that happens to include a negative option feature.

b. Requiring Consent to Receive a "Save" Would Prevent Consumers from Receiving Information Relevant to a Cancellation Decision

The proposed amendments to the Current Rule would require a seller to "immediately cancel [a] negative option feature upon request from a consumer, unless the seller obtains the consumer's unambiguously affirmative consent to receive a Save prior to cancellation."¹³ Requiring sellers to ask for consent to present additional options, potential modifications to existing terms, or reasons to retain an existing offer would make the cancellation process less simple and increase customer frustration. Moreover, the proposed updates to the Current Rule do not clarify how companies that provide multiple subscriptions or negative option features to individual consumers can find out which subscription or feature the consumer wishes to cancel. In instances where consumers have purchased multiple subscriptions via negative option features with an individual seller, sellers should be permitted to ask the consumer which subscription they would like to terminate and present information related to that feature. Under the Current Rule and in the online context, sellers are permitted to show "Save" information on the same screen as the final cancellation button or click-box; but under the proposed modifications to the Current Rule, consumers would be required to take several other steps, including to first consent to receiving "Save" information, click through to it, and read it before completing a cancellation request.

Consumers often significantly benefit from receiving information about negative option feature cancellation before cancelling the feature. Requiring consumer consent to provide this helpful information would hinder or prevent consumers from receiving important disclosures about the impacts of a cancellation choice of which consumers may be unaware. For example, sellers often provide consumers with useful details about a negative option feature at the point of cancellation, including information about the potential loss of accumulated benefits; details regarding the status of points towards a certain achievement; offers for discounts or other benefits available to the consumer; instructions regarding how to download or keep important content or data inherent in the subscription or feature, such as photos or music; and other information that could be relevant to the consumer's decision to cancel. The proposed updates to the Current Rule also do not explain how the requirement to obtain consent for "Save" information should interact with the widely used practice of presenting consumers with options to pause or skip a round of recurring services or goods, or to modify their orders for such

¹³ *Id.* at 24735-6, Proposed Rule § 425.6(d). The RFC defines a "Save" as an "additional offer or modification... during a cancellation attempt." *Id.* at 24729.

recurring services or goods for the next upcoming delivery. If sellers are prohibited from providing such “Save” information absent consumer consent, consumers may inadvertently miss out on receiving information relevant to their decision to cancel a negative option feature, which could have the unintended effect of harming or negatively impacting the consumer. The FTC should instead retain the Current Rule’s approach of permitting “Save” information to be provided to consumers without the need to obtain separate consent to present such information.

c. Proposed Requirements Surrounding Renewal Reminders Are Vague and Unworkable

Proposed amendments to the Current Rule would require annual renewal reminders for negative option features that do not involve physical goods to be sent to consumers “through the same medium (such as internet, telephone, or mail) the consumer used to consent to the negative option feature.”¹⁴ This proposed rule is both overly prescriptive and vague. It is overly prescriptive because it forces sellers to interact with consumers through a certain channel, even if the context of the consumer’s relationship with the seller suggests the consumer would prefer another channel. For instance, if a consumer consented to a negative option feature via the telephone a year ago but since then has engaged in all other interactions with the seller via the Internet, the proposed amendments would still force the seller to provide an annual renewal reminder through the telephone despite the consumer having shown that the Internet is the consumer’s preferred form of communication. This proposed rule could consequently have the unintended effect of forcing sellers to communicate renewal reminders to consumers in inefficient and undesired ways.

Additionally, the proposed rule related to renewal reminders is unreasonably vague, because the requirement to present such reminders through the “same medium” is unclear. For instance, if a consumer signs up for a negative option feature via a mobile app, the proposed rule does not clarify whether the seller must present the annual reminder through the app or if they can provide it through another method associated with a mobile device, such as through email or a push notification. While sellers understand the need to provide consumers with regular reminders of renewals related to negative option features, the proposed amendments to the Current Rule would present both vague and prescriptive mandates that could force sellers to communicate with consumers through unpreferred methods or in inefficient ways. The Commission should remove the proposed amendments’ prescriptive and vague mandate to communicate renewal reminders through the “same medium” as consent was initially provided.

III. Several Requirements in the Proposed Rule Are Unreasonably Onerous or Misaligned with Commonplace Modes of Interaction Between Consumers and Sellers

Certain areas of the proposed amendments to the Current Rule would enact prescriptive requirements that are misaligned with realities of the modern economy and the ways consumers interact with businesses. A flexible approach would work better to ensure that innovation and new technologies do not render standards related to negative option features obsolete or create unavoidable conflicts with requirements inherent in the FTC’s regulations. The proposed

¹⁴ *Id.* at 24736, Proposed Rule § 427.

amendments to the Current Rule should be updated in line with the suggestions set forth below to better reflect the ways consumers and businesses communicate and enter into contracts in the modern economy.

a. “Click to Cancel” Requirements Do Not Further Simplicity in the Cancellation Process or Permit Reasonable Consumer Authentication

Proposed modifications to the Current Rule would require “simple cancellation,” including, in part, a requirement that the cancellation mechanism “be at least as easy to use as the method the consumer used to initiate the negative option feature.”¹⁵ The proposed amendments to the Current Rule would also require certain channel-specific cancellation features, one of which is requiring a cancellation mechanism to be presented over the same website or web-based application the consumer used to purchase the negative option feature.¹⁶ These elements of the proposed modifications to the Current Rule are simultaneously vague and overly prescriptive.

Requiring “simple” cancellation is a difficult standard for businesses to implement, as there is little detail provided to guide them to understand its meaning and how to comply with this ambiguous requirement. If sellers are required to enable cancellation through a single click or action by the consumer, accidental cancellations will become much more common, as consumers will not reasonably expect to remove their recurring goods or services with just one click. Such accidental cancellations could cause consumers to miss out on essential deliveries of food, water, or medical products, and could create the inconvenience of requiring the consumer to register again for a service they did not intend to cancel in the first place. The possibility of accidental cancellations could be greater in the mobile environment, which may be less optimized to manage complex processes such as account administration. Consequently, in many instances, it may be reasonable for sellers to require some form of customer authentication, or redirection of the consumer to a medium that best facilitates account administration, before processing a cancellation. As a matter of public policy, permitting reasonable customer authentication prior to cancellation helps to minimize mistaken or fraudulent cancellation actions, which lead to customer frustration and undesired lapses in the provision of needed goods or services. Several state-level negative option laws permit reasonable authentication procedures prior to cancellation,¹⁷ and the proposed amendments to the Current Rule should similarly allow companies to verify consumer identities prior to effectuating a cancellation choice.

In addition, the proposed updates to the Current Rules should set clear and flexible standards regarding channels for submitting cancellation requests. The channel-specific requirement for cancellation in the proposed amendments ignores, for instance, negative option features that may be made available through internet-of-things (“IoT”) devices. While consent to purchase a negative option feature may be possible to achieve through an IoT device, businesses may need to direct consumers to web-based interfaces to process a cancellation in order to verify the consumer’s cancellation choice. Reasonable verification of cancellation is particularly pertinent to negative option features maintained on behalf of families, such as streaming service subscriptions. To verify that a parent accountholder is the individual making changes to a

¹⁵ *Id.* at 24735, Proposed Rule § 425.6(b).

¹⁶ *Id.* at Proposed Rule § 425.6(c).

¹⁷ *See, e.g.,* Cal. Bus. & Prof. Code § 17602(d).

subscription or cancelling the negative option feature, a seller may reasonably need to require an account holder to log in via a web-based account to verify themselves in order to initiate a cancellation rather than making the selection through an IoT device such as a Smart TV. Instead of proposing prescriptive cancellation rules, including channel-specific requirements, the rule should set forth a flexible cancellation standard that is achievable across all channels. Alternatively, or additionally, the rule could outline certain examples of “simple” cancellation mechanisms across various channels to give sellers optional approaches to cancellation to comply with the rule’s requirements. In any case, cancellation requirements should be broad enough to account for realities associated with various kinds of negative option marketing and subscription plans.

b. Overly Detailed Disclosure Requirements Will Not Provide Meaningful Consumer Protection

The proposed amendments to the Current Rule would require sellers to provide detailed disclosures to consumers prior to obtaining billing information. The proposed modifications would require, for example, an explicit disclosure that payments will be recurring; the deadline by which consumers must act to stop charges; the range of charges consumers may incur; the precise date a charge will be submitted for payment; and exhaustive information about mechanisms consumers can use to cancel a recurring payment, in addition to other disclosures.¹⁸ The modifications would also require sellers to clearly and conspicuously disclose “any material term related to the underlying good or service that is necessary to prevent deception, regardless of whether that term directly relates to the negative option feature.”¹⁹ A requirement to provide such elaborate disclosures is outside the scope of the Current Rule and the Commission’s stated goals in the proposed amendments, and would hamper innovation without offering any meaningful benefits to consumers. Providing more information would not necessarily mean that any of the terms of a negative option feature would become clearer to a consumer. A requirement to make such excessive disclosures could, in fact, cause more confusion by bombarding consumers with information and so many different aspects of the negative option feature at a time when the consumer has already decided to purchase the feature and is preparing to supply billing information to the seller. This requirement could also result in disclosure fatigue and undermine consumers’ understanding of and attention to the disclosures.

In addition, the proposed amendments would require “clear and conspicuous” notices to consumers to include “unavoidable” disclosures.²⁰ For example, according to the proposed modifications, a disclosure is not clear and conspicuous if a consumer must take “any action, such as clicking on a hyperlink or hovering over an icon, to see it.”²¹ This proposed rule would be particularly problematic in situations involving sign-ups for subscriptions or negative option features on mobile devices. Screens on mobile devices are small, and the proposed rule could be applied to require all disclosures to be made on the same screen, or to prohibit any scrolling action by a consumer to see a required disclosure. The proposed rule’s requirement for more detailed disclosures, coupled with its requirement for those disclosures to be “unavoidable,”

¹⁸ RFC at 24735, Proposed Rule § 425.4.

¹⁹ *Id.* at Proposed Rule § 425.4(a).

²⁰ *Id.* at 24734, Proposed Rule § 425.2(c).

²¹ *Id.* at Proposed Rule § 425.2(c)(4).

contradict one another. The Commission should provide more flexibility in its disclosure requirements rather than mandating such prescriptive rules.

c. Recordkeeping Requirements Under the Proposed Modifications to the Current Rule Are Unreasonable and Unnecessary

The proposed modifications to the Current Rule would impose significant recordkeeping requirements on sellers of negative option features. For example, they would require sellers to maintain records of consumer consent for at least three years, even for consumers who signed up for a free trial and cancelled it before being charged.²² As drafted, the proposed amendments would also require sellers to maintain records of consumer consent for eleven years for individuals who continuously subscribe to negative option features for at least ten years.²³ Instead of imposing such onerous and needless recordkeeping requirements on sellers that may obligate them for decades to keep burdensome records detailing consumer consent, the FTC should clarify that consent records do not need to be maintained for individual customers if the seller can demonstrate that it is impossible for customers to sign up for an offer without providing affirmative consent.

IV. The FTC Should Seek Harmonization Across the Various Laws and Regulations Governing Negative Option Marketing Rather Than Add New, Prescriptive Requirements to the Patchwork

The ANA has long championed best practices for sellers of negative option features, most notably through its own *Guidelines for Ethical Business Practice*. The *Guidelines* include specific consent, disclosure, billing, delivery, and cancellation provisions related to advance consent arrangements and for negative options, in addition to specific requirements for post-transaction third-party sales.²⁴ The *Guidelines* show that the ANA and its members have a dedicated history of supporting consent, transparency, and clear consumer choices with respect to negative option marketing.

Against this backdrop of industry self-regulation, several other legal frameworks govern negative option features and marketing in addition to the Current Rule. For example, ROSCA, the Telemarketing Sales Rule, the Postal Reorganization Act, the Electronic Fund Transfer Act, Section 5 of the FTC Act, and state laws create a web of requirements surrounding negative option marketing.²⁵ This existing regimen is extremely effective at protecting consumers from harm associated with illegally constructed negative option features. Although the FTC has acknowledged the patchwork of existing laws governing negative option features and marketing and has stated its intent that the proposed amendments to the Current Rule to provide a consistent approach across such offerings,²⁶ the proposed amendments do not achieve that aim.

²² *Id.* at 24735, Proposed Rule § 425.5(a)(4).

²³ *Id.*

²⁴ ANA, *Guidelines for Ethical Business Practice*, Part II, § 2 at 18, located [here](#).

²⁵ See, e.g., *Restore Online Shoppers' Confidence Act*, 15 U.S.C. §§ 8401 – 8405; *Telemarketing Sales Rule*, 16 CFR § 310, et. seq; *Postal Reorganization Act*, 39 U.S.C. § 3009; *Electronic Fund Transfer Act*, 15 U.S.C. §§ 1693 – 1693r; *FTC Act*, 5 U.S.C. § 45(a).

²⁶ RFC at 24718.

Instead of unifying and harmonizing requirements among the various laws applicable to negative option marketing, the proposed amendments to the Current Rule would add new requirements to the already existing and numerous requirements in this area. The proposed amendments to the Current Rule also explicitly clarify that they would not preempt any state law.²⁷ As a result, the prescriptive mandates of the proposed modifications would present yet another set of compliance hurdles for sellers of negative option features to incorporate into their processes without commensurate consumer benefits. In addition, the new requirements would saddle the Commission with another set of rules to police at a time when the agency is already engaged in several other rulemaking efforts and other resource-intensive activities. Selective or inconsistent enforcement of prescriptive requirements related to negative options could have the perverse result of confusing consumers, enabling undesired business conduct to continue or muddying the waters of what the Commission considers acceptable or not acceptable. Moreover, the cost of incremental and inflexible negative option feature requirements will ultimately fall on consumers, who will be unwittingly forced to subsidize well-meaning sellers' efforts to comply with the complex and intersecting requirements for negative option features across various state and federal regimes. At the very least, to the extent the Commission moves forward with creating prescriptive new requirements for providers of negative option programs, the FTC should allow for sufficient ramp-up time to incorporate those requirements into processes prior to bringing enforcement actions for violations of the updates to the Current Rule.

Because the FTC cannot preempt the existing laws that regulate negative option marketing, any updates to the negative option rule should strive to prioritize harmonization and consistency with existing laws. Where areas of conflict or disagreement exist among federal and state frameworks, the FTC should aim to foster consistency and clarity to the benefit of consumers and businesses alike. As discussed in these Comments, several of the proposed updates to the Current Rule would impose requirements that would needlessly impede consumers from purchasing negative option features and impede legitimate businesses from providing such beneficial features to consumers. The FTC should update its proposed amendments to the Current Rule in line with the suggestions in these Comments to help ensure both consumers and businesses can continue to reap the benefits of negative option marketing features.

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Thank you for the opportunity to submit Comments on this important topic. Please do not hesitate to contact us with any questions regarding this submission.

²⁷ RFC at 24736, Proposed Rule § 425.8.